SCHEDULE CGDL-CRS

CUSTOMER GENERATION
DEPARTING LOAD COST RESPONSIBILITY SURCHARGE

APPLICABILITY

The Customer Generation Departing Load Cost Responsibility Surcharge (CGDL-CRS) is applicable to all customers that have Customer Generation Departing Load as defined in Special Conditions 2 and 3 who are not exempt or do not receive an exception as set forth in Special Condition 4 of this Schedule.

TERRITORY

Within the entire territory served by the Utility.

RATES

The CGDL-CRS is comprised of the following components: 1) Department of Water Resources (DWR) Bond Charge, 2) Power Charge Indifference Adjustment charge (PCIA) (formerly the DWR Power Charge)[1], 3) Ongoing Competition Transition Charge (CTC), and 4) Wildfire Fund Non-Bypassable Charge. T

The DWR Bond Charge rate can be found on Schedule DWR-BC. The Bond Charge is effective April 3, 2003, the effective date of D.03-04-030, for the applicable Customer Generation Departing Load not otherwise excepted or exempt as set forth in Special Condition 4. Pursuant to Resolution E-3831, applicable Customer Generation Departing Load will be billed the Bond Charge beginning July 19, 2004. Unrecovered DWR Bond Charges for the period April 3, 2003 through July 18, 2004 shall be recovered from applicable Customer Generation Departing Load as provided for in Resolution E-3831 and D.05-01-040.

To the extent that Customer Generation Departing Load customers are responsible for paying a PCIA (pursuant to D.06-07-030), the PCIA charge shall be the applicable Old World Generation rate, as listed under Schedule DA-CRS, unless exempted or excepted under Special Conditions 4.

The CTC rate can be found on the customer's otherwise applicable rate schedule and the terms associated with that service are set forth in Rule 23.

Municipal Surcharge: Amounts calculated under this Schedule are subject to a municipal surcharge as provided in Sections 6350 through 6354.1 of the Public Utilities (PU) Code.

SPECIAL CONDITIONS

1. Definitions: The definitions of principal terms used in this Schedule are found either herein or in Rule 1, Definitions.

[1] The Power Charge Indifference Adjustment or "PCIA" is calculated by subtracting the ongoing CTC from the Utility's above or below market total portfolio power costs. If the PCIA is positive then Direct Access and Departing Load customers are responsible for the balance. If the PCIA is negative then the balance is tracked by the Utility and used to offset future above market costs. The Utility's total portfolio power costs consist of its retained generation power costs and the Utility's allocated DWR power costs compared to the approved market price benchmark.

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SPECIAL CONDITIONS (Continued)

2. Customer Generation: Cogeneration, renewable technologies, or any other type of generation that (a) is dedicated wholly or in part to serve a specific customer's load; and (b) relies on non-utility or dedicated utility distribution wires rather than the Utility grid to serve the customer, the customer's affiliates and/or tenants, and/or not more than two other persons or corporations located on site or adjacent to the real property on which the generator is located. Pursuant to D.05-06-041, Customer Generation also includes county and municipal water district self-generation used to serve the district's own load, both on-site and off-site. County and municipal water district generation serving off-site loads other than the district's own loads is not considered Customer Generation, unless the service is provided over-the-fence in accordance with Public Utilities Code Section 218.

3. Customer Generation Departing Load: Effective February 1, 2001, Customer Generation Departing Load is departing load that is served by Customer Generation as defined in Special Condition 2 above and is that portion of the Utility customer's electrical load for which the customer (1) discontinues or reduces its purchase of bundled, Direct Access, or CCA service from the Utility; (2) purchases or consumes electricity supplied and delivered by Customer Generation to replace Utility, Direct Access or CCA purchases; and (3) remains physically located at the same location or elsewhere within the Utility's service territory as of April 3, 2003. A load reduction qualifies as departing load when such load is subsequently served by a source other than the Utility. T T

   Customer Generation Departing Load does not apply to changes in the distribution of load among accounts at a customer site with multiple accounts or load changes resulting from the reconfiguration of distribution facilities on the customer site, provided that the changes do not result in a discontinuance or reduction of service from the Utility at that location. In addition, Customer Generation Departing Load does not apply to departing load that physically disconnects from the Utility's grid.

   Customer Generation Departing Load also does not include nor would any portion of the CGDL-CRS apply to:

   (a) Changes in usage occurring in the normal course of business resulting from changes in business cycles, termination of operations, departure from the Utility service territory, weather, reduced production, modifications to production equipment or operations, changes in production or manufacturing processes, fuel switching, enhancement or increased efficiency of equipment or performance of existing Customer Generation equipment, replacement of existing Customer Generation equipment with new power generation equipment of similar size, installation of demand-side management equipment or facilities, energy conservation efforts, or other similar factors.

   (b) New customer load or incremental load of an existing customer where the load is being met through a direct transaction with Customer Generation and the transaction does not otherwise require the use of transmission or distribution facilities owned by the Utility as demonstrated by the physical test adopted by D.98-12-067 and set forth in SDG&E's Rule 23.

   (c) Load temporarily taking service from a back-up generation unit during emergency conditions called by the Utility, the California Independent System Operator, or any successor system operator.

   (d) Load served by a dispatchable back-up generation used in connection with the dispatch of a load management program sponsored by the CPUC, California Energy Commission, California Independent System Operator, or any other successor operator.

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SCHEDULE CGDL-CRS

CUSTOMER GENERATION
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SPECIAL CONDITIONS (Continued)

3. Customer Generation Departing Load (Continued)

(e) The customer's departing load as a result of providing grid support if the following conditions are met: 1) CAISO has issued a Flex Alert or Stage 1,2 or 3 emergency; 2) the customer is a M/L C&I customer on Schedule AL-TOU or A6-TOU; 3) the customer has on-site generation; 4) an SDG&E Account Executive, SDG&E Grid Operations Employee, or similarly designated SDG&E employee requests grid support from the customer and the customer takes action; 5) the customer is not enrolled in the ELRP; and 6) the waiver is in place from 2021 through 2025.

4. Exemptions and Exceptions: Customer Generation Departing Load shall be exempt or excepted from billing of the rates set forth above in the following situations:

(a) Departing load customers that began to receive service from Customer Generation on or before February 1, 2001 except during any period and to the extent that the departing load customer thereafter receives bundled or direct access service, shall be exempt from paying the DWR Bond Charge and PCIA.

(b) The departing load served by Customer Generation that commenced commercial operation on or before January 1, 2003 or for which (a) application for authority to construct was submitted to the lead agency under the California Environmental Quality Act (CEQA), not later than August 29, 2001, and (b) commercial operation commences not later than January 1, 2004 shall be exempt from paying the PCIA.

(c) Departing load served by biogas digester Customer Generation eligible under PU Code Section 2827.9 shall be exempt from paying any CRS, including the DWR Bond Charge, PCIA, CTC and Wildfire Fund Non-Bypassable Charge.

(d) Customer Generation Departing Load that is equal to or under 1 MW in size and is either i) eligible for financial incentives from the CPUC's self-generation program (SGIP), ii) eligible for financial incentives from the California Energy Commission, iii) eligible for service under Schedule NEM, or iv) taking service under Schedule NEM-ST or Net Billing Tariff (NBT) shall be excepted from paying any CRS, including the DWR Bond Charge, PCIA, CTC and Wildfire Fund Non-Bypassable Charge. Generation facilities installed by the California Department of Corrections and Rehabilitation pursuant to the applicable provisions of Schedule NEM and PU Code Section 2827 shall also be excepted from paying any CRS, including the DWR Bond Charge, PCIA, CTC and Wildfire Fund Non-Bypassable Charge. Additionally, Generation facilities greater than 1 MW taking service on schedule NEM-ST or NBT shall also be exempt from paying CRS, including DWR Bond Charges, PCIA CTC and Wildfire Fund Non-Bypassable Charge. Exemption of CRS will only apply to the amount of customer generation taking service under the NEM tariffs. Also, a generator with a system capacity equal to or under 5 MW that is eligible for the SGIP shall be provided with the CRS exception only on the departing load resulting from the first 1MW. T T

(e) Customer Generation Departing Load that is over 1 MW in size but that otherwise meets all criteria in PU Code Section 353.2 as "ultra-clean and low-emissions," shall be excepted from paying the PCIA. In accordance with Special Condition 4(h), below, this exception has expired for new Customer Generation Departing Load Effective February 12, 2015.

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SCHEDULE CGDL-CRS

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SPECIAL CONDITIONS (Continued)

4. Exemptions and Exceptions: (Continued)

(f) Customer Generation Departing Load meeting best available control technology standards set by the Local Air Quality Management District and/or the California Air Resources Board, as applicable, other than the Customer Generation described in Special Conditions 4(a) through 4(e), shall be excepted from paying the Power Charge Indifference Adjustment. This exception shall expire for new Customer Generation Departing Load installed after the cumulative total Customer Generation Departing Load, excluding departing load described in Special Conditions 4(a) and 4(b), exceeds 600 MW by December 31, 2004, 1,100 MW by July 1, 2008, or 1,500 MW thereafter for the electric Investor Owned Utilities regulated by the CPUC, as determined on a first-come, first-served basis by the California Energy Commission. In accordance with Special Condition 4(h), below, this exception has expired for new Customer Generation Departing Load Effective February 12, 2015. L L

(g) The UC/CSU Systems identified in Section V.B.4 of D.03-04-030 shall be granted specific allocations (set-asides) within the 3000 MW cap which consists of a cap of 10 MW by the end of 2004, an additional cap amount of 80 MW by the end of 2008, and an additional cap amount of 75 MW after the end of 2008. The specific exceptions expire for new installations once the caps have been reached, including the 3000 MW cap. The 3000 MW cap has been met. The set aside for the UC/CSU Systems will remain open until the earlier of December 31, 2019 or until they collectively install ten additional MWs of qualifying generation in SDG&E's service territory

(h) The exceptions from the PCIA described in Special Conditions 4(e) and 4(f) shall expire for new Customer Generation Departing Load installed after the cumulative total of Customer Generation Departing Load, excluding departing load described in Special Conditions 4(a) and 4(b), exceeds 3000 MW for the electric Investor Owned Utilities regulated by the CPUC, as determined on a first-come, first-served basis by the California Energy Commission. The 3000 MW cap has been met. Therefore, the exceptions from the PCIA described in Special Conditions 4(e) and 4(f) expired effective February 12, 2015.

(i) Customer Generation Departing Load of continuous direct access customers shall be exempt from the DWR Bond Charge, Wildfire Fund Non-Bypassable Charge, and PCIA as set forth in Schedule DA-CRS. In addition, continuous direct access load that departs to Customer Generation does not count toward the caps set forth in Special Conditions 4(f) through 4(h). T

(j) No exception shall apply to back-up generation or to diesel fired generation, unless as provided for in Special Conditions 3© or 3(d).

(k) Pursuant to any statute, including without limitation PU Code Sections 372 and 374, Customer Generation Departing Load shall be exempt from CTC.

(l) In order to determine exemption or exception eligibility, a Customer Generator, other than those defined under Special Condition 4(d), may be required to submit an application to the Utility and to the California Energy Commission. Upon receipt of the completed application, the Utility will determine provisional categorization for exemption or exception status, if applicable. A final determination of exemption or exception categorization will be provided at such time as the Utility and the California Energy Commission confirm eligibility.

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SPECIAL CONDITIONS (Continued) L

5. Bill Calculation: The Departing Load customer's CGDL-CRS obligations will be based on metered consumption. If reliable metered consumption information is not made available to the utility, the utility will estimate the consumption based on that customer's historical load at the time the customer discontinues or reduces retail service with the utility, using one of the two following options:

   (a) The customer's demand and energy usage over the 12-month period prior to the customer's submission of notice of its intention to take steps that will qualify the customer's load as Departing Load; or

   (b) The customer's average 12-month demand and energy usage, with such average to be as measured over the prior 36-months of usage; or

   In the event the 12-month average usage differs from the 36-month average by an amount greater than 25 percent, the 36-month average will be used unless there is substantial evidence to demonstrate that the more recent usage is the result of a persisting change in the customer's electric usage, and that the 12-month average will be more indicative of the customer's future electric requirements. L

   If the customer does not indicate its option in its advance notice to the utility of its intention to take steps that will qualify the customer's load as Departing Load, as set forth in Rule 23, the default method will be the customer's demand and energy usage over the 12-month period prior to the customer's submission of notice.

   In circumstances where the Departing Load has been reduced following departure from the utility due to use of energy efficiency equipment or for other reasons, the customer and the utility may agree in writing to use metered or other data on a prospective basis to verify such load reduction for the Departing Load. If a metering agreement is reached, the utility will adjust the calculation of Departing Load payments.

   If the customer has switched between applicable rate schedules or service voltages during the 36-month period prior to the date of departure, the Departing Load charges will be based on the customer's final applicable rate schedule and service voltage. Where a customer provides reliable third party metered consumption data, the rate schedules used for Departing Load purposes shall be consistent with that metered information.